Crowdfinancing for Small and Medium Sized Companies

Business Plan

Prepared February 2014

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Executive Summary

Who We Are?

Investly is a crowdfinancing platform for small and medium sized companies. We are closing the financing gap for companies with the ability and will to grow by building a bridge between these businesses and investors around the globe. Our service relies on trust, simplicity and availability.

What We Offer?

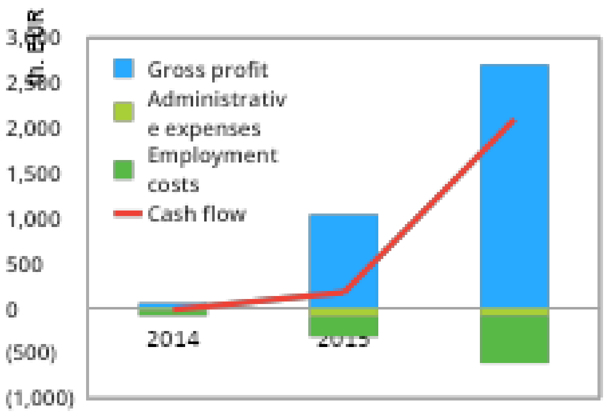
We offer a platform on which companies can raise money to finance their business. The company can choose to raise unsecured debt or sell their invoices on our marketplace. Investly performs due diligence and credit scoring to offer high quality opportunities for our wide group of investors, who have been properly identified on our platform. They are able to place their bids on these offers and will drive down the cost of financing for the business in a reverse auction with increasing demand.

Who We Offer To?

Our services are available for small and medium sized companies with at least two years of activity and means to sufficiently report their financials in order to prove creditworthiness. Private and institutional investors from European Economic Area are free to register on our site and file for an investor status. Approved investors may begin to invest immediately.

Financial Summary

- Cash flows will be expected to turn positive at the end of first year
- Expected operating margin is 69% in 2015 and 77% in 2016
- Minimum financing need in 2014 is €30,000



Company

Overview

Investly was established in August 2013 as a startup company to build a crowdfinancing platform for small businesses. Crowdfinancing is growing rapidly due to the technological advances in online services and in data transfer between companies and public registries. We are building a financial services technology platform based on these advancements to fill the market need for small business financing by bringing our experience and expertise from IT development and financial services from globally established leading banks. By providing more efficient and scalable service, we are creating a whole new market for small businesses for which big banks have failed to provide the financing they need.

Team

Siim Maivel, CEO and co-founder (CV)

Currently an MSc Economics student on academic leave in University of Nottingham, UK. He has recently worked as a project manager and fixed income business analyst at UBS AG in Zurich, Switzerland. Additionally, he has several years of experience in financial services industry including assignments at The Ministry of Finance of The Republic of Estonia and Bank of Estonia. Mr Maivel holds a BA of Economics from Tallinn University of Technology and has also studied at ISC Paris School of Management, Paris, France.

Julian Kaljuvee, interim CTO and venture partner (CV)

Mr Kaljuvee is a Director in Founders Capital Ltd, and he was the founding investor in Isepankur.com, the first market-place lending platform in Northern and Eastern Europe founded in 2008.

Vishal Sahu, Senior developer (CV)

Mr Sahu is and experienced software engineer who has built up and lead the building process of several applications from a wide variety of sectors. His broad background and passion for new technologies gives us has the means to bring the most recent and innovative solutions onto our platform and manage the development team efficiently.

Products and Services

Services

Crowdfinancing is an emerging area of crowdsourcing (group of people join together online to accomplish a task) and financing. This free market environment helps companies raise funds for their business and also use this platform as a marketing channel.

Crowdfinancing campaigns are often accompanied by social media, where owners, customers, and investors of the company share, tweet, re-tweet and e-mail these campaigns to their partners and friends. Businesses and campaign managers are incentivised to do so, because the more demand they can create the lower their funding cost will be. Also, it serves an additional purpose of getting audience on social media to advertise your products and services.

Investors, on the other hand, tend to share their knowledge and opportunities between each other to get external opinions and to learn more about the company at hand. With their peers' view, they can share the knowledge of “the Crowd” and boost their risk adjusted returns by understanding the risk profile of the company.

In addition to financing itself, we provide a comfortable infrastructure in which to share the crowdfinancing campaign updates and news in all the major social mediums and messages. This is essential to attract investors and reduce the information gap between the counterparts, which will ensure better risk adjusted returns for investors and lower funding costs for businesses.

Debt Crowdfinancing

Companies who register on our platform and wants to raise unsecured debt have to provide us with confirmable proof of their finances, which include financial and bank account statements. After we have approved the correctness of the data, we perform credit scoring, set the interest rate bandwidth and launch the application into debt auction where all investors can place bids.

Investors bid with their required interest rate and amount suitable for their allocation and diversification needs (starting from €100). The interest is calculated with monthly amortising loan method, i.e. interest is being paid on the outstanding principal, and the loan terms range from 3 months to 5 years. If the desired amount is fulfilled, the debt contract will be enforced and the company receives its raised funds net of the transaction fee (5% of the total amount raised). If the auction is unsuccessful, the company has an opportunity to extend the closing deadline or launch a new auction with new terms.

Loan repayments are made monthly and are paid out to investors on our platform. This money can be used for new investments or withdrawals.

Invoice Crowdfinancing

Often companies are limited in financing their supply chain and funds are tied with big deliveries or projects. We are offering these businesses to sell their invoices on our platform with a discount so they would get the necessary funds to support their ongoing business and investors make secured investments with the invoice underlying the obligation. That way investors could make secure short term investments as the contract term ranges from 30 to 180 days.

We charge the applicant a 2.75% fee for the transaction and the investor gets the return from purchasing the invoice with discount..

Similarly to debt crowdfinancing, the company submits its financials so we can perform credit checks for the funding applicant and also for its client who is responsible for the repayment of the invoice. Having passed the checks, we assign a credit score and launch the application into auction where the final price of the invoice will be determined. The more investor demand there is, the bigger the amount the company receives.

Credit Scoring and Due Diligence

The majority of the crowdfinancing instruments are based on correct reporting of finances, reputation and trust, which means that a large share of the loans are not secured by collateral. That is why it is crucial that we perform high quality risk assessment, before we allow our investors to risk their funds.

This is being achieved by three major components:

1. Credit risk

Using the best practices from the industry to determine pure accounting credit risk

2. Individual risk

Assessing the creditworthiness and potential for growth by analysing the behaviour and traffic on social media sites

3. Peer group data

Taking into account already repaid funding requests on our and competitors platforms

Our credit model has been developed by statistical analysis of the default data on small and medium sized companies in general and on crowdfinancing platforms together with the data available from social media sites and it has a good prediction power in terms of identifying potential defaults.

In addition, we use a digital signing process from our partner SignWise (homepage), which allows us to efficiently identify counterparts and get legally bounding digital signatures for necessary documents from our users.

Before launching funding requests into auctions, all applicants are charged a fixed fee (e.g. €10 in Estonia) for credit scoring services which is used to make queries on financial info and credit history to public databases.

Debt Collection

There are high risks involved with financing business loans and it may happen that a company becomes insolvent and has difficulties repaying its debt. We are partnering up with Creditreform (homepage) to handle overdue debt collection processes in all of the target markets. They have highly automised processes in place for handling insolvent debtors, which makes the processing of these cases much more convenient and yielding for the investors.

Future Products and Services

Secondary Market

Allow investors to sell their debt contracts and invoices on secondary market to other investors. This creates liquidity and offers investors an opportunity to get out from their positions. With increasing volume in transactions, debt contracts will be valued more accurately and the price will reflect the credit risk better. Investly will charge a 1% fee for all the secondary market transactions.

Autobidder

Investor can choose a set of rules (e.g. risk grade, term, minimum required interest rate, debt to equity ratio, etc.) with which the autobidder will invest its funds automatically to all the qualified debt offers on primary and secondary market.

Direct Debit

Investor may set up a direct debit to deposit some fixed amount every month to Investly account. These funds may be invested by the autobidder.

API

As crowdfinancing is a technology driven sector, it attracts technologically advanced investors. By building an application programming interface (API), we allow investors to access our trading platform directly, which allows them to analyse offers and execute trades automatically. This seems to be one of the major drivers in acquiring professional crowdfunding investors.

Gamification

Gamification means using game-like elements, such as leader boards, badges, awards, to guide user behaviour. These have proven to be successful in building customer loyalty and guiding user behaviour, such as excessive risk taking or due diligence. We intend to use these elements to motivate investors to be more engaged on the platform, for example by comparing their returns to their peers. In addition, we can use similar elements to enhance our credit scoring.

Competitors

There are several crowdfinancing platforms available in different countries, but they are mostly limited to only one target market for businesses. Crowdfinancing has been best established in UK and US as seen in Table 1, where the financial markets and public databases are of a very high quality. These platforms also have secondary markets on which the investors can get out from their positions:

Table 1. Competitors

- Funding Circle

First business debt crowdfinancing platform in UK. Focuses on small and medium sized businesses with 2 years of financial data. Has the largest user base and has agreed the government to support small business by investing on their platform. Seems to have technologically most advanced solution.

- Assetz Capital

One of the most recent and fastest growing platforms in UK market. They intermediate secure loan offers and do tailor made deals and try to attract institutional investors

- Lending Club

The biggest players offering consumer loans in US. They have the largest deal flow and have raised capital from famous technology companies, like Google. Also, they have partnered up with several institutional investors and provide special services to offer them first-hand deals before they are introduced to the market.

- Market Invoice

First platform to offer small businesses invoice financing service. Has a considerable market share in UK and oversupply of institutional fund due to short term opportunities with relatively high interest rates. Accepts investors with minimum deposit of £50,000.

As the market is only starting to take shape, there have not been any considerable cross-market expansions outside from UK and US. There are several smaller players on domestic markets, but these platforms are usually highly specialised and with relatively low deal flows.

Target Markets

Market Needs

Financial sector is not focused on serving the interests of small businesses. Big banking monopolies and behind-the-door deals have made finance exclusive for limited amount of businesses. This, however, is inefficient for business.

On one side, there are plentiful investors with idle cash on their balance, because traditional finance has failed to provide safe harbour for people's investments. On the other side, there is a myriad of companies who cannot get a business loan form a bank, because they lack sufficient collateral or do not offer same returns than some more riskier asset classes like derivatives. Neither can they involve angel investor nor venture capitalists due to exclusivity and high fees.

For example, according to European Commission survey on small and medium sized companies' access to finance presented in our Market Research2, 46% of EU businesses have a need for debt financing but 16% of all businesses get rejected. In other words, a third of all European Union SMEs are rejected for debt financing. That may be explained by several trends in financial markets:

1. Banks have not adopted new technologies that have helped other services industries, like internet and e-commerce, to scale up their business and cut overhead. Hence, greater returns are to be made in more labour-intense asset classes like derivatives and hedging market risks for S&P500 companies.

2. Majority of lending institutions have been taken over by global conglomerates which impose uniform lending policies across the group. This makes lending decisions rigid and financing often unavailable for small businesses in need for funding. For example, in European Monetary and Economic Area 10 biggest banks hold more than half of the debt market[1], which makes the market highly concentrated and funding choices more scarce for small businesses.

The graph below illustrates the financing climate and the market reception for crowdfinancing services:

*Internet penetration shows the share of SMEs using online services to file their financial statements and to communicate with public offices.

These are the

[1] Deutsche Bank, HSBC, Barclays, BNP Paribas, JPMorgan, Goldman Sachs, Citi, SG Corporate & Investment Banking, UniCredit and Credit Suisse hold 52% of the EMEA's total loan portfolio http://fn.dealogic.com/fn/DCMRank.htm

markets most suitable for our expansion, as we are going to explain in our Expansion Plan. They have high quality credit bureaus which give accurate data on company financials and well-developed credit markets, however, SMEs still get rejected from banks for the funds they need to grow their business.

Industry Overview

Crowdfunding platforms, which include also donation and reward based campaigns, are starting to face the demand and growing their volumes in exponential rate. These platforms raised funds in total €2 billion in 2012 and €3.8 B in 2013 according to crowdsourcing.org Industry Report 2013. The estimate for 2014 is €11 billion. Considering the high growth rate, the market share is still small: in 2012 the total funds raised in Europe was €700 million, which is infinitesimal compared to the €5,700 trillion business loan portfolio of European Union.

Based on crowdsourcing.org Industry Report 2013

The debt
asset class growth rate has been 63% in 2010 and 132% in 2011 giving a 43% share for debt from total crowdfunding pot in 2013 as seen in Table 2 below. This allocation is expected to balance out around 50% in the future.

Table 2. Crowdfinancing Industry by Asset Class

Expansion Plan

Crowdfunding requires well-established public IT infrastructure and good quality credit agencies. These requirements must be matched with good corporate culture and ease of doing business as some of the credit problems are often related with general credit behaviour. From our Market Research2 and previous industry experience, it seems that crowdfinancing model is most successful in conditions where the financial sector is well developed, but businesses do not get the funding they need. Also, in some countries, for instance France and Germany, financial intermediary is more heavily regulated and adopting crowdfinancing model requires a banking licence.

Having considered these previous factors and the willingness of the people to adapt new emerging technologies, we have identified 6 countries in our expansion plan in Table 3 on page 14 the order of expanding our activities where the crowdfinancing service would be most beneficial for us and the businesses. In each of those countries (except Estonia, where the headquarters is) we plan to create a local entity with a team consisting of country manager, marketing head and financial analyst:

1. Estonia

Technologically one of the most advanced countries in Europe. Solid finance sector and highly adaptive culture. We are partnering up with a local investment bank to create the critical deal flow for first investors.

2. Finland

Vibrant startup scene. Good business culture and well established IT infrastructure allow us to scale our business with relatively low efforts. Launch an equity crowdfunding campaign on Invesdor or FundedByMe to raise funds in order to establish our presence locally.

3. Lithuania

Hi usage of debt (including invoice) financing and adaptive technological culture. Business and cultural proximity to headquarters helps to scale business.

4. Ireland

Developed credit markets, technologically advanced and relatively untouched market. Launch an equity crowdfunding campaign on SeedUps to raise funds for the local entity.

5. Denmark

Technologically advanced and large credit market. A local platform offering invoice crowdfinancing Dansk Faktura Børs gives a good example on local operations. Already existing crowdfunding scene helps to launch an equity crowdfunding campaign on Invesdor or FundedByMe to raise funds in order to establish our presence locally.

6. United Kingdom

The birth place of business crowdfinancing. Biggest market in Europe and multiple existing platforms with new market entries still performing well. Offer access to biggest investor pools and technology partners. Establishment in UK helps to bring new investors to our other markets. Launch an equity crowdfunding campaign on CrowdCube to raise funds for the local entity.

Strategy and Implementation

Marketing Plan

As our service is targeted to small business owners and directors, we intend to to direct marketing for the companies that are eligible for our fund raising criteria. Our marketing principle is not to wash our funds into all the marketing channels from the initiation, but do very targeted marketing through our partners and available databases. This seems to be also the industry standard at least in the startup phase.

- Direct marketing for companies

From Amadeus BvD database, we can obtain the historical financial information for all companies that fall into our size criteria (annual turnover and total assets < €10 M) and check if they would be eligible to raise funds on our platform, i.e. are they creditworthy. The same database gives us the contact details of these companies, so we can contact them directly with already the estimated maximum interest rate and conditions. This medium is relatively labour intense, but potentially highly efficient as it targets the decision makers directly in a convenient manner.

- Targeting influential spreaders for investors

Investor communities are very tightly connected and people are very eager to capture the latest market trends. We plan to activate our existing network of contact in the investor and crowdfunding scene to introduce and advertise our platform by inviting bloggers to write articles, star investors to tweet and share, technology gurus to give testimonials, etc. galvanise the crowdfunding scene.

- Crowdfunding campaigns for our own expansion

As crowdfunding campaigns tend to offer considerable marketing opportunities and media coverage, we intend to raise fund for our expansion on the existing crowdfunding platforms in the target countries. This invigorates the domestic investor and business scene and attracts early adaptors.

- Industry specific conferences

As the industry is expanding at rapidly, there are several events and conferences hold around Europe to introduce the new players and connect with business partners. This medium is suitable for showing our presence and showcasing our products to investors globally.

After adding up all these cost estimates for different channels and comparing them to competitors, we have measured the estimated Cost Per Acquisition (CPA), which is an average cost per new customer on each of the target markets in Table 3:

Table 3. Estimated Cost Per Acquisition (CPA) per Target Market

Typically, the CPA per average deal size comes close to 17% in year 1, 22% in year 2 and 25% in year 3 of market activity. This is also being supported by financial statements of Funding Circle, who's product seems to be most similar to ours. CPA per invoice crowdfinancing service is expected to be less, because if a company has sold one invoice on the platform and is satisfied with the service, it is likely to sell some future invoices as well. We expect one acquired invoice financing client to sell by average of 2-3 invoices.

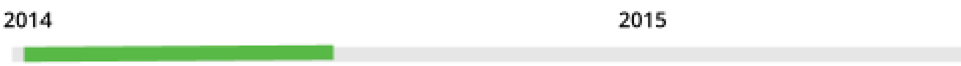
Milestones

April 2014

Private Beta launch for partners and friends. Public testing period: 3-5 initial deals offered to test the system and technology. Start online marketing. Launch with basic system requirements.

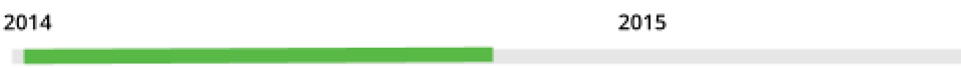
Business	Marketing	IT Development
1. Debt contract templates 2. Find suitable beta testers 3. Approval from Estonian Financial Authority 4. Find suitable startup accelerators for future expansions 5. Start recruiting potential Country Manager (CM) for Finland launch	1. Ask partners to write testimonials 2. Start social media campaign 3. Invite influencers to participate in private Beta 4. Article proposal for journalists	1. User and company profiles 2. Investor verification 3. Funding application 4. Debt auction 5. Internal payments 6. Digital signature 7. Deposits/Withdrawals 8. Credit Scoring 9. Admin functionalities 10. Messaging system for customers 11. Design review

July 2014



Public Beta available for all customers. Marketing strategies implemented and focused on customer acquisition. Strong presence in relevant events and conferences.

Business	Marketing	IT Development
1. Launch equity fund raising campaign for Finnish expansion 2. Find potential first customers for debt and invoice services in Finland 3. Recruit CM for Finland 4. Approval from Finnish Financial Authority	1. Full marketing campaign with presence in media, radio and TV shows 2. Relevant conferences and events 3. Prepare Finnish local marketing channels	1. Public Beta launch 2. Invoice crowdfinancing 3. Customer support 4. Prepare Finnish localisation



September 2014

Expansion to Finland. Preparation for Lithuania and Ireland expansion. Participation in startup accelerators.

Business	Marketing	IT Development
1. Launch in Finland 2. Participate in an accelerator to establishing global network 3. Recruit CM for Lithuania and Ireland 4. Approval from Lithuanian and Irish Financial Authorities 5. Launch equity fund raising campaign for Irish expansion on Seedups	1. Full marketing campaign with presence in media, radio and TV shows in Finland 2. Marketing channel optimisation models 3. Relevant conferences and events	1. Autobidder 2. Direct debit 3. Gamification

January 2015

Expansion to Lithuania and Ireland. Launch Investly 2.0 with secondary market and investor tools. Identify possible future target markets.

Business	Marketing	IT Development
1. Launch in Lithuania and Finland 2. Start recruiting Country Manager (CM) for Denmark and UK	1. Full marketing campaign with presence in media, radio and TV shows in Lithuania and Ireland 2. Marketing channel optimisation 3. Relevant conferences and events	1. Secondary market 2. Portfolio management tools 3. Social network algorithm based marketing 4. Machine learning for credit scoring

April 2015

Preparation for Denmark and UK expansion. Attract institutional investors. Increase marketing efforts to gain market share.

Business	Marketing	IT Development

1. Get institutional investors on the platform 2. Recruiting Country Manager (CM) for Denmark and UK 3. Approval from Danish and UK Financial Authorities	1. Direct marketing for global investor community 2. Relevant conferences and events	1. API for institutional clients 2. Automised call centre for customer support

2014 2015

July 2015

Expansion to Denmark and UK. Attract institutional investors. Establish presence in UK and prepare US launch.

Business	Marketing	IT Development
1. Launch in Denmark and UK 2. Prepare US market entry	1. Optimise marketing channels 2. Relevant conferences and events	1. API for institutional clients 2. Automised call centre for customer support

Key Performance Indicators

In order to track our progress after public Beta go-live in July 2014, a set of measures need to be put in place for steering the product and making management decisions on marketing and expansion strategies. We can measure activities with the following monthly Key Performance Indicators (KPIs).

Customer Acquisition

Indication of how many new registrations are turned into successful debt offers:

- Total company registrations
- Successful debt auctions per total company registrations

Platform Efficiency

Measures for improving user experience and end-to-end process:

- Completed registrations to started registrations
- Completed applications to started applications
- Successful applications to approved applications
- Underfunded applications to approved applications

- Average time spent by user on each application
- Average time spent by admin on each applications

Investor Statistics

Investment and market sentiment. Controlling for systematic risks and mass defaults:

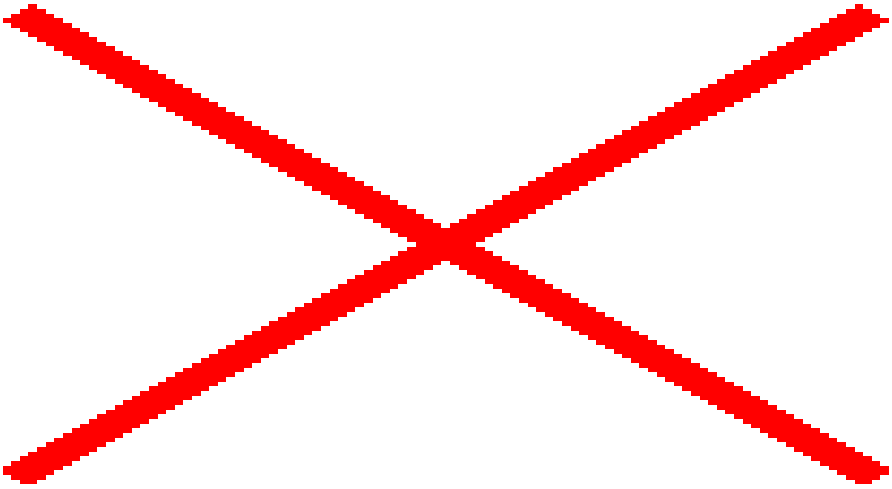
- Total defaulted loans (overdue more than 60 days) to total loans issued
- Total Invoices traded to total invoices defaulted
- Change in the two previous rates
- Actual default rates to expected default rates (credit score accuracy)

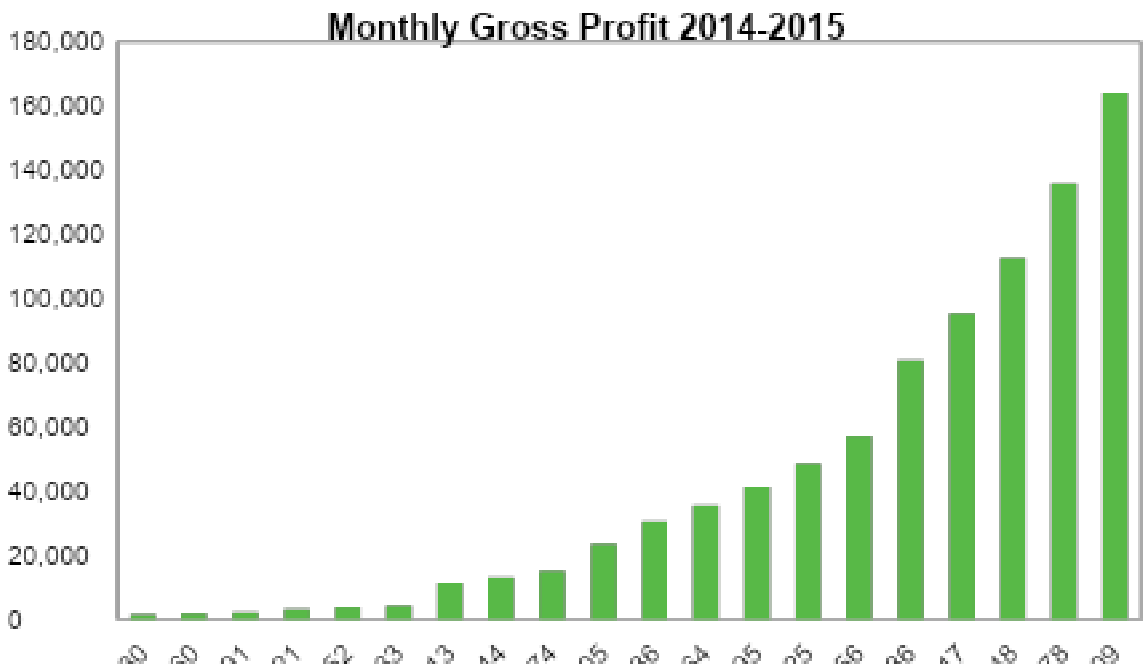
Cost Control

In order to measure CPA and efficiency of the marketing channels, we calculate how many new successful applications are created by users joining from each marketing channel. We can our users at the registration, how did they hear about us, so we could adjust the marketing spending accordingly to minimise the cost per new acquisitions for each channel.

Financial Plan

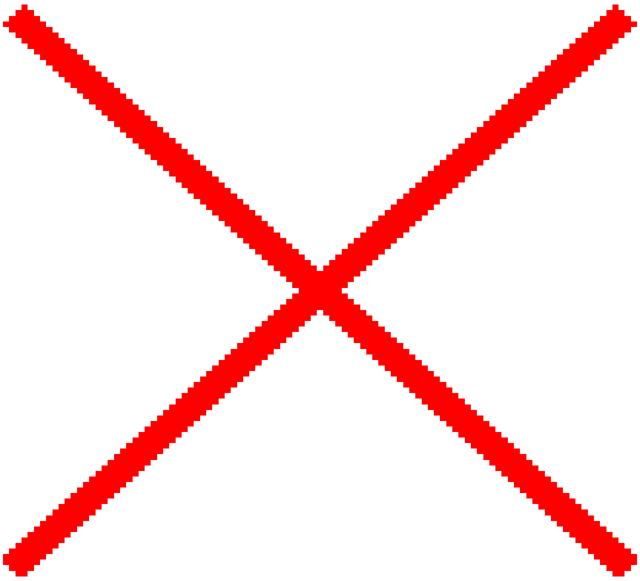
Revenue Forecast



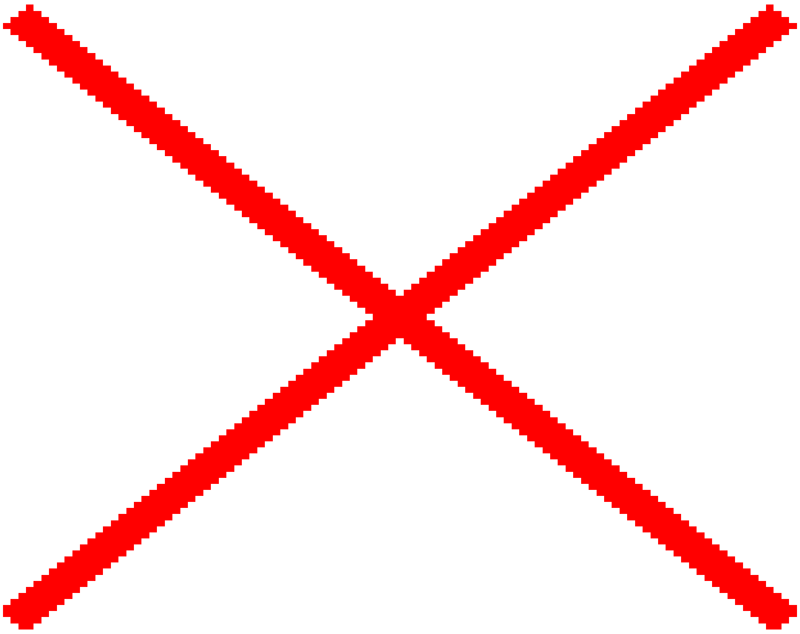


Personnel Plan

It is expected that with each new market entry, we need to hire at least 3 new people: 1 country manager, 1 marketing manager, 1 financial analyst:

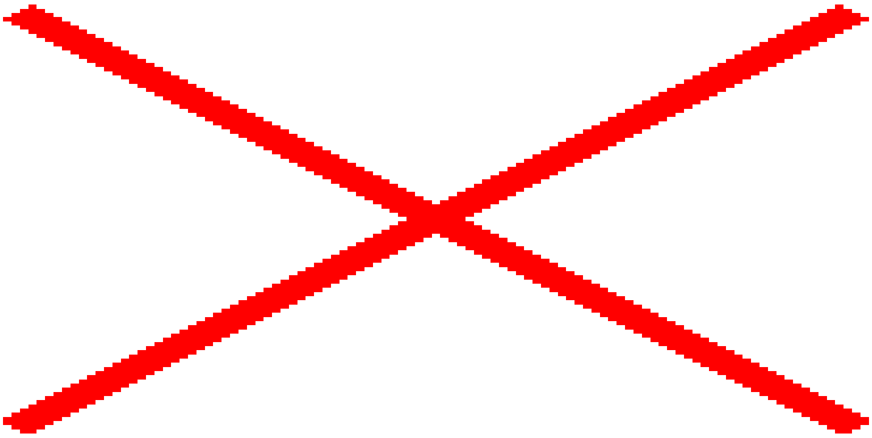


Costs



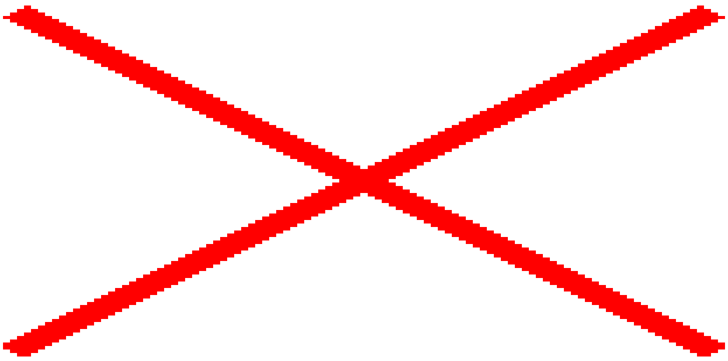
Other costs include one-time fixed costs of €10,000 for each expansion.

Cash Flow Statement



Starting Balance

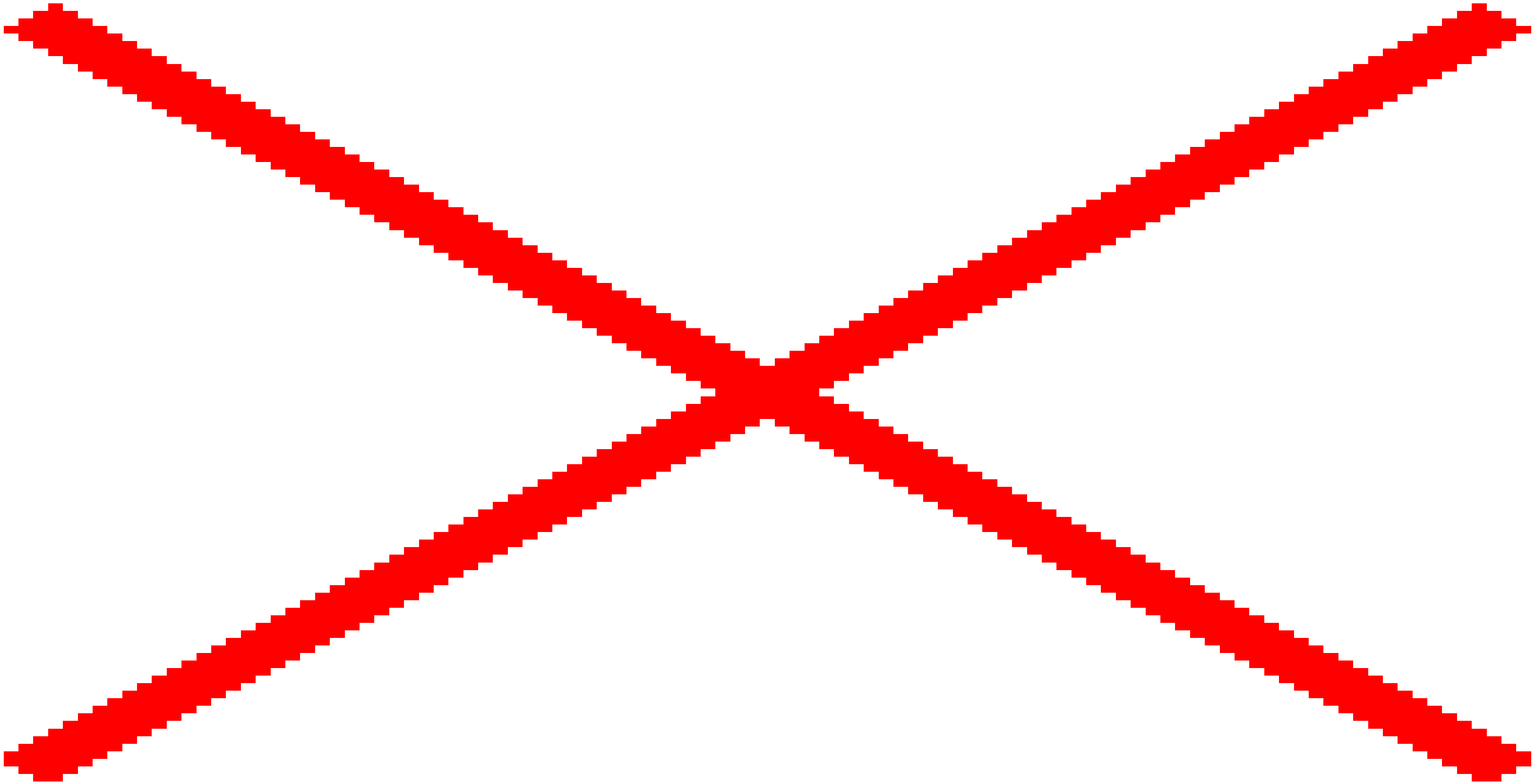
These costs include all the realised costs to date



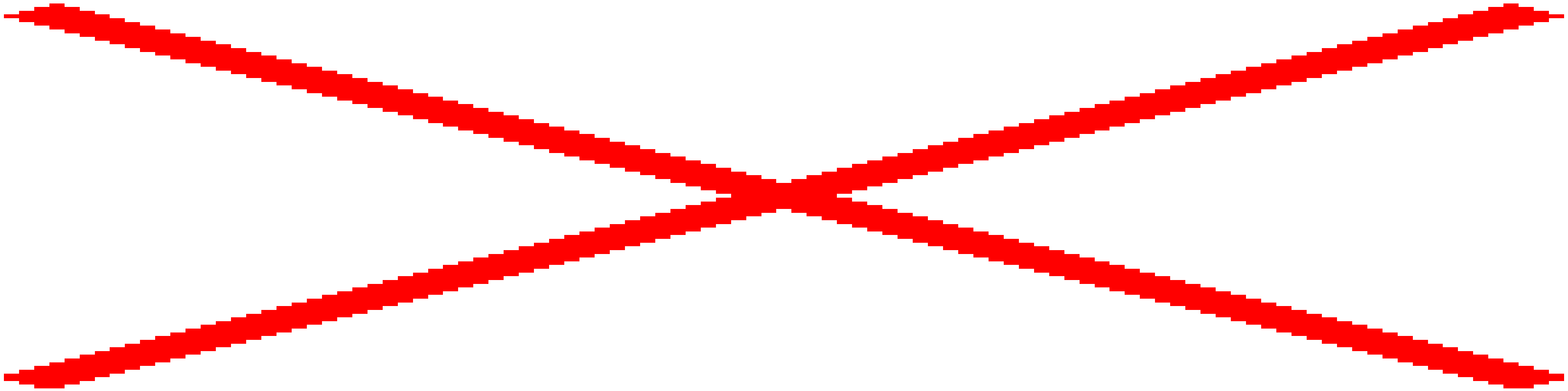
Appendix

Market Research[2]

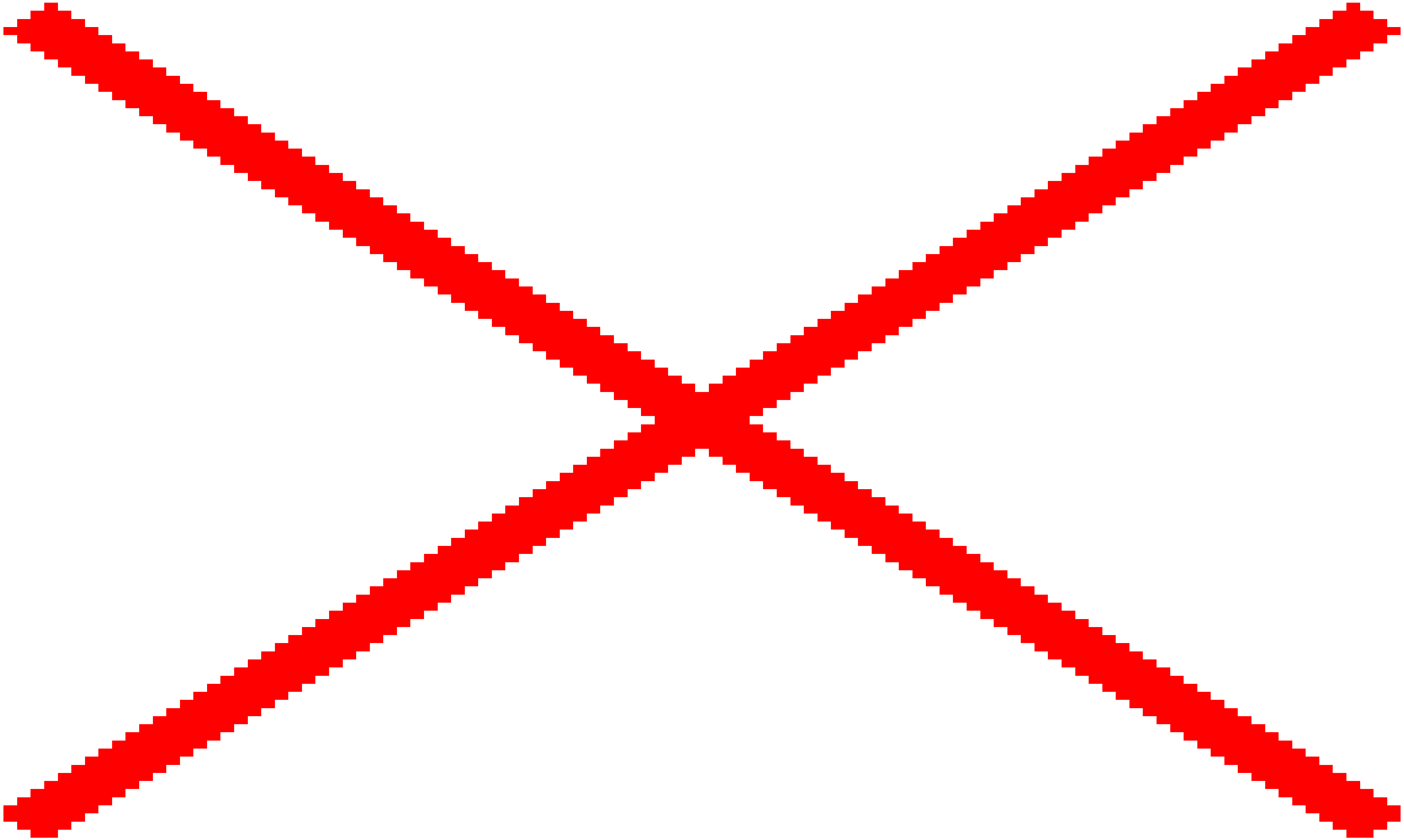
[2]References: 2013 Eurostat, 2012 European Commission, 2012 European Commission, 2013 European Commission



Monthly Sales 2014



Monthly Sales 2015



Monthly Costs

Monthly Cash Flows